1

According to the International Monetary Fund, it is "the biggest financial crisis in the United States since the Great Depression."

2

This favorable outcome would never have been possible without the unflinching support of the chairman of the Wellington funds' independent director group, the late Charles D. Root, Jr. Thanks, Chuck, for without you Vanguard would likely not have come into existence.

3

We actually operate 45 "true" index funds, narrowly defined. Although they're soundly managed by excellent investment professionals, I consider another 37 funds to be "virtual" index funds—largely bond and money market funds administered at nominal cost under rigorous maturity and quality standards, and closely tracking appropriate measures of the fixed-income markets.

4

It is at least possible that not all financial firms put their own interests ahead of the interests of their clients. When John Thain, a former top executive at Goldman Sachs, became the CEO of Merrill Lynch in late 2007, he was asked how the firms differed. His answer: "Merrill does truly put clients first." You'll have to decide for yourself about the validity of the claim.

5

I do begrudge hedge fund managers the maximum 15 percent tax rate that the federal government applies to so-called carried interest, an obfuscatory phrase referring to the share of profits paid to hedge fund managers. Such a low rate is an insult to those hardworking citizens whose far smaller earned incomes are often subject to standard federal tax rates that are twice as high or more. I also understand that clever tax planning enables this income to be deferred, free of any taxes and earning a return until drawn down later. Unsurprisingly, attempts at tax reform by Congress have been overwhelmed by the well-funded lobbyists hired by hedge fund managers.